

Letter to Stakeholders from the CEO



Dear Reader,

2022 has been a transformational year for Lundin Gold and Fruta del Norte (FDN). In our third year of production, we have continued to focus on operational excellence, surpassing production guidance and ending the year below our cost guidance. We have also pushed forward with our exploration activities. Reaching these milestones is a direct result of our commitment to sustainability - a commitment that is woven throughout our company culture and which allows us to both drive operational excellence and build deep relationships. In doing so, we create value both for our shareholders and host communities.

This was the vision of Lukas Lundin, our founder, former chairman and dear friend. Lukas died in July 2022 after a courageous fight against brain cancer, but not before seeing the realization of his dream to construct Fruta del Norte and demonstrate the value of mining to the Ecuadorian people. As Chairman of the Board, Lukas often said, “Nothing is impossible.” It was on this principle that we built Fruta del Norte in very challenging terrain and climate, and in a country that had no other large-scale mining operations. Lukas’s vision provided the inspiration to build FDN into what it is today.

I regularly visit FDN and am always struck by the true sense of camaraderie there and am uplifted to be a part of it. I see the immense pride the team takes in their work, and it is my honor to lead them as part of our Lundin Gold family. To ensure that our

working environment remains strong, we carry out an employee survey through a third-party firm and were able to gauge employee satisfaction and receive feedback. I am proud to highlight that we earned the “Great Place to Work” recognition ([see page 34](#)).

This past year was also the second year of implementing our 5-Year Sustainability Strategy. We have made considerable progress on our headline targets, as you will see in the summary tables at the beginning of each section of this report. I would like to specifically highlight our work in education and local business development ([see pages 18 and 39](#)). These projects, implemented with a range of partners, respond to the joint priorities that we have identified through ongoing community engagement. We have also deepened our understanding of the possible impacts from a changing climate, as well as developed a better sense of how we can reduce the emissions footprint of FDN. We continue to support responsible governance practices for the mining sector ([see page 46](#)). Ultimately, we recognize our duty to build an industry that is inclusive and sustainable for the future, and which integrates local communities into its decision-making process.

Looking ahead to 2023, we remain firm in our long-term goal: to see FDN grow along with the communities around it. We will continue to focus on local employment both for our activities and with other industries that can benefit from skilled, local workers ([see page 39](#)). We remain committed to creating lasting economic development that fosters growth and sustainability.

On a more personal note, I look forward to continuing to visit local communities in 2023 to see firsthand the progress we are making and the far-reaching impacts on local families. These visits are as rewarding for me as seeing our success at the mine site. I recall a meeting five years ago, amid FDN’s construction, with several young women who were interested in a possible career in mining. Today, they are geologists pursuing an opportunity that would not have otherwise existed and are part of the Lundin Gold family. I am humbled to see the lives we have impacted in a positive way, and I look forward to all we can accomplish together in the years ahead.

Sincerely,

Ron Hochstein
President and CEO

2022 Sustainability Performance Highlights

		2022	2021
	Gold Production (oz Au)	476,329	428,514
	All-in sustaining costs (\$ per oz of gold sold)	\$805	\$762
	Revenues (\$ million)	\$816	\$733
	Diversity - % women on the Board, % women in management, % women in workforce	33% women on the Board 19% women in management 17% women in workforce	30% women on the Board 19% women in management 16% women in workforce
	Climate Change – emissions intensity (tCO ₂ e/oz gold produced, tCO ₂ e/ kilotonnes of Ore Milled) ¹	0.06 tCO ₂ e/oz gold produced; 18.98 tCO ₂ e/ kilotonnes of Ore Milled	0.07 tCO ₂ e/oz gold produced; 21.73 tCO ₂ e/ kilotonnes of Ore Milled
	Health & Safety – total recordable incident rate (TRIR) (per 200,000 hours worked)	0.30	0.46
	% water re-used and/or recycled (Megalitres reused and recycled / megalitres water consumption)	95%	75%
	% waste diverted from disposal (Metric tons waste diverted from disposal / metric tons waste generated)	27%	30%
	% of procurement budget dedicated to local spending	Total Ecuador – 79% Rings 1-3 – 14%	Total Ecuador – 80% Rings 1-3 – 13%
	Lundin Gold employee entry-level wage compared to the minimum wage in Ecuador	116%	118%
	% of persons with disabilities in the workforce ²	3%	3%

¹ Based on emissions in Scopes 1 and 2.

² This number does not include substitutes (i.e., families of people with disabilities).

Update on Our 5-Year Sustainability Strategy

In 2020, Lundin Gold established a long-term sustainability strategy that accounts for the needs of FDN and the evolving social context at the local, provincial, and national level. The resulting “Lundin Gold 5-Year Sustainability Strategy 2021-2025” (the “Strategy”) includes an Impact Management Framework to measure our progress in priority ESG areas. As a result, by 2025 Lundin Gold will have a body of evidence regarding the achievement of our sustainability goals and our contributions to the sustainable economic growth of the region and the country.

The Strategy was reviewed and approved by the Lundin Gold Board. For details on how we developed the Strategy and its structure, please refer to our [2021 Sustainability Report](#).

In this report, we provide updates on progress towards reaching the headline targets and a discussion of our performance in relation to the implementation of the Strategy (as well as historical data, if available).

We have aligned the Strategy with the SDGs in order to meaningfully contribute to Ecuador’s 2030 Agenda.

The Strategy is reviewed with relevant internal stakeholders and updated accordingly.



Stakeholder Perceptions of Lundin Gold’s 5-Year Sustainability Strategy

In late 2022, Lundin Gold surveyed local communities in Los Encuentros and Yantzaza (Rings 1 and 2; [see graphic on page 5](#)) to gauge public perceptions of our contribution to each of the Pillars. In general, more people viewed our work positively across all the Pillars. The perception survey is discussed further in the [Participatory Dialogue](#) section of this report.

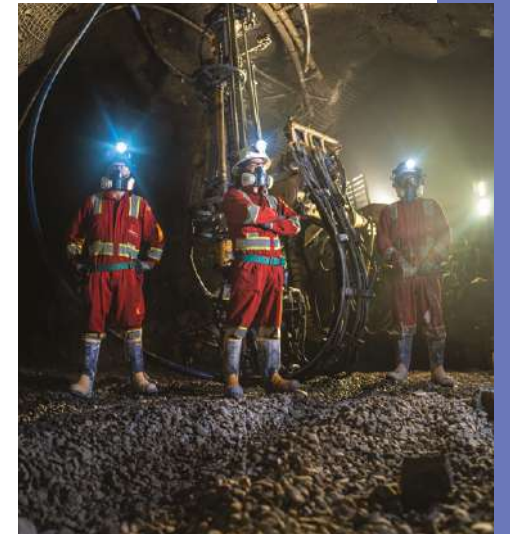




Pillar: Climate Change

Lundin Gold's Climate Progress

In 2022, Lundin Gold made excellent advancements against its climate strategy. Through a detailed analysis of its Scope 1 and 2 GHG emissions and the development of a marginal abatement cost curve, the Company assessed reduction opportunities for FDN over the current mine life. This work has positioned Lundin Gold to set an informed reduction target in 2023, supported by feasible carbon reduction pathways.



Last year proved to be an important year in the advancement of Lundin Gold's climate strategy and action. Under the leadership of the Company's Chief Executive Officer, the Climate Resilience Group (the CRG) conducted a detailed analysis of the Company's Scope 1 and 2 emissions with the assistance of a decarbonization consultant with expertise in the gold sector. With a better understanding of FDN's emissions, the CRG consulted with the leadership team at site to identify a range of decarbonization opportunities, which were then evaluated using a marginal abatement cost curve developed for FDN. At the same time, the Company

Our Approach

Our primary objective is to identify actions to reduce our global greenhouse gas (GHG) emissions footprint and to reduce the emissions intensity of our gold mining. To do so, it is important to understand the impact that our operations have on climate change. This section provides a summary of key aspects of our Climate Change pillar. For a full analysis and discussion, please see our Climate Change report, to be published in May 2023.

initiated the development of a life of mine emissions forecast for FDN, which will be important to Lundin Gold as it evaluates its emissions reduction potential and develops a supporting strategy and plan. Given the Company’s industry-low emissions intensity on a per ounce basis, Lundin Gold is also carefully examining the role carbon offsetting may play in its commitment to reduce its carbon footprint.

Progress on 2025 Key Headline Targets

An overview of Lundin Gold’s progress regarding our climate change targets is provided below. For more details regarding our climate change performance, strategy, governance, and risk management and metrics, please refer to our annual climate change reports.

Pillar: Climate Change		
Strategy Progress Report		
2025 Key Headline Targets	2022 Actions	2022 Status
By 2022, complete the measurement of GHG emissions for the year 2021. This will be our baseline year for target setting.	- Used 2021 data to establish the baseline for Scope 1 and Scope 2 GHG emissions. - Developed greater understanding of Scope 3 emissions.	Achieved
Establish an emissions intensity target and high-level plan to achieve this target in 2022.	- The CRG identified and evaluated emissions reduction opportunities, with the use of a carbon abatement cost curve. - Development of a life of mine emissions forecast for FDN initiated, pending finalization of updated mineral reserve and resource estimate and life of mine plan. - Over the course of 2023, these options will be prioritized.	Deferred target due to updating of estimates of mineral reserves and resources and the mine plan
The Task Force on Climate-Related Financial Disclosures (TCFD) is noted in Lundin Gold’s 2020 Sustainability Report and integrated into the Company’s 2021 Sustainability Report.	An extensive climate report aligned with the recommendations of TCFD was published.	Achieved
Develop an offset strategy that will include an assessment of the viability of Ecuador-based offsets.	Work commenced to develop an offset plan with the Lundin Foundation.	On track

2022 Performance

GHG Emissions and Energy Consumption

Lundin Gold’s total calculated Scope 1 and 2 emissions in 2022 were approximately 29,600 tonnes of CO₂-equivalent (tCO₂e) and include emissions from the FDN operation, the Quito, Los Encuentros and Vancouver offices, and our exploration program. This figure represents a reduction of approximately 1,167 tCO₂e from our recalculated 2021 total emissions of 30,767 tCO₂e, as explained below.



Lundin Gold’s Emissions Intensity

At 0.06 tCO₂e per ounce of gold produced in 2022, Lundin Gold is among the lowest carbon emitters in the gold sector.

In 2022, Lundin Gold made several adjustments to its previously reported 2021 GHG emissions resulting from an independent third-party review of the data as follows:

- Recalculation of Our Baseline:** Lundin Gold has recalculated its 2021 baseline emissions mainly due to a change in the electric power generation emission factor in Ecuador. The previous Scope 2 reporting was based on the marginal grid factor; it has now been corrected to an average emission factor. The factor to be applied was reduced from 0.1917 tCO₂e/MWh to 0.0429 tCO₂e/MWh, which resulted in a significant reduction in estimates of Scope 2 emissions for the baseline emissions data. In accordance with Chapter Five of the GHG Protocol, Lundin Gold has retroactively recalculated its 2021 data to allow for consistency in reporting going forward. The recalculated 2021 Scope 1 and 2 emissions in the table below represent the Company’s baseline emissions data.

- **Improved Reporting of Scope 3 Emissions:** Lundin Gold also conducted a detailed review of its 2021 reporting of Scope 3 emissions and made a number of significant changes due to changes in methodology, corrections to certain misclassifications and recalculations due to errors. To allow for consistency in reporting going forward, Lundin Gold has re-estimated its previously reported 2021 Scope 3 emissions as set out in the table below. Please see our response to disclosure GRI 2-4 in the data tables for additional information.

Scope 1	■ Diesel ■ Gasoline ■ Liquid propane gas ■ Helicopter fuel ■ Explosives
Scope 2	■ Hydroelectric power (via grids) ■ 93.8% renewable in Ecuador ■ 98% renewable in Vancouver
Scope 3¹	■ Category 1: Purchased goods and services such as equipment, supplies, hotels and restaurants, and other services ■ Category 2: Capital goods such as machinery ■ Category 3: Fuel and energy-related activities not included in Scope 1 or Scope 2 ■ Category 4: Upstream supplies transportation and distribution such as cement ■ Category 5: Waste generated in operations ■ Category 6: Business travel ■ Category 7: Employee commuting – all locations ■ Category 9: Downstream transportation and distribution such as transport of doré (reported within category 4) ■ Category 10: Processing of sold products such as refining

¹ Categories in line with the GHG Protocol Technical Guidance for Calculating Scope 3 Emissions, available at <https://ghgprotocol.org/standards/scope-3-standards>.



Chemical laboratory at Fruta del Norte smelting area

A more detailed account of our emissions and energy usage trends can be found in our 2023 Climate Change Report.



GHG Scope	GHG Emissions (tonnes CO ₂ equivalent) ¹ Includes CO ₂ , CH ₄ , and N ₂ O, as appropriate							
	2022				2021			
	Scope 1	Scope 2	Total Scopes 1 & 2	Scope 3	Scope 1 ⁵	Scope 2 ⁵	Total Scopes 1 & 2 (Baseline Year) ⁴	Scope 3 ⁶
Fruta del Norte Site (tCO ₂ e)	23,011	5,557	28,568	-	24,981	5,397	30,378	-
Exploration (tCO ₂ e)	1,013	0	1,013	-	373	0	373	-
Ecuador Offices ² (Quito and Los Encuentros) (tCO ₂ e)	0	19	19	-	0	16	16	-
Vancouver Office ³ (tCO ₂ e)	0	0	0	-	0	0	0	-
Total (tCO₂e)	24,024	5,576	29,600	166,742	25,354	5,413	30,767	193,764
% of Total Annual CO ₂ e	12.2%	2.8%	15%	85%	11.3%	2.4%	13.7%	86.3%
Kilotonnes of Ore Milled (Kt)			1,559.18				1,415.63	
GHG Emissions Intensity ⁴ (tCO ₂ e/ Kt ore milled)			18.98				21.73	
Ounces of Gold Produced (oz)			476,329				428,514	
GHG Emissions Intensity ⁴ (tCO ₂ e/ oz. Au produced)			0.06				0.07	

¹ For full list of emission factors sources and other relevant data, please refer to the Climate Change section of our Lundin Gold 2022 GRI, SASB and LPRM Index and Sustainability Performance Data spreadsheet.

² Ecuador offices emissions consist of emissions from the Quito and Los Encuentros offices, the Las Peñas Camp, and our FDN nursery.

³ Emissions from our Vancouver office were determined to be negligible.

⁴ Intensity is calculated based on FDN Scope 1 and Scope 2 emissions only.

⁵ Baseline Scope 1 and 2 recalculated in accordance with the GHG Protocol mainly due to an improvement in the accuracy of the emissions factor for national electric power generation in Ecuador. Previously baseline reported: 2021 Scope 1: 25,399 tCO₂e; 2021 Scope 2: 24,170 tCO₂e.

⁶ 2021 Scope 3 recalculated due to improved understanding and reporting. Previously reported: 2021 Scope 3: 746,750 tCO₂e.

Note: Figures are rounded



	Total Energy Consumption by Type (GJ)			
	2022		2021 (baseline year)	
Energy Source	GJ	% Of Total	GJ	% Of Total
Subtotal - Fuel Source	332,705	100%	356,639	100%
Diesel	325,063	97.7%	351,273	98.5%
Gasoline	2,625	0.8%	2,586	0.7%
Jet A1	4,846	1.4%	2,526	0.7%
LPG (Propane/Butane)	171	0.1%	254	0.1%
Subtotal - Electricity	467,589	100%	453,928	100%
Renewable	438,600	93.8%	425,786	93.8%
Non-Renewable	28,989	6.2%	28,142	6.2%
Total Energy	800,294		810,567	
Kilotonnes of Ore Milled (Kt)	1,559.18		1,415.63	
Energy Intensity (GJ/Kt ore milled)	513.28		572.58	
Ounces of Gold Produced (oz)	476,329		428,514	
Energy Intensity (GJ/oz. Au produced)	1.68		1.89	

Note: Figures are rounded

Taskforce on Climate-Related Financial Disclosure Reporting

Our first Climate Change Report was published in May 2022 and follows the recommendations of the TCFD. The report includes Lundin Gold's first climate scenario analysis, examining risks and opportunities associated with three possible futures including high, moderate, and no climate action. We examined ten climate hazards of either acute or chronic nature as part of the risk assessment process, as well as transition risks associated with climate change in both Canada and Ecuador. Following this assessment, we explored relevant mitigation measures and responses. Out of the 11 disclosure recommendations proposed by the TCFD, we fully aligned our



On Earth Day, Lundin Gold employees planted 200 trees

reporting to six, and we showed good progress against the remaining recommendations. We are working towards full alignment in future reports. Lundin Gold's full TCFD Reporting can be found in our Climate Change Report.



CDP Reporting

CDP runs a global disclosure system for investors, companies, and governments to measure and manage their environmental impacts on climate change, water security and deforestation. In 2022, we completed our first disclosure cycle for the CDP Climate Change questionnaire. As a first-time responder to CDP in 2022, Lundin Gold had the option to keep its responses and scoring private from investors. Consistent with its commitment to transparency, Lundin Gold instead opted to make its responses and its score public and was awarded a score of "C", which is in line with the global, North American, and industry average. We intend to use the knowledge gained during our inaugural CDP disclosure process to improve our second disclosure response in 2023.